

**THE RELATIONSHIP BETWEEN UNEMPLOYMENT
RATES, INFLATION RATE, AND GDP TO FOREIGN
DIRECT INVESTMENT INFLOWS IN MALAYSIA IN
1990-2020**

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List of Abbreviations

FDI	Foreign Direct Investment
GDP	Gross Domestic Product
WTO	The World Trade Organization
OECD	The Organization for Economic Cooperation and Development
ASEAN	Association of Southeast Asian Nations
OIC	Organisation of Islamic Cooperation
MNCs	Multinational Corporation
TNCs	Transnational Corporation
UNCTAD	United Nations Conference on Trade and Development
OPR	Overnight Policy Rate
G7	The Froup of Seven
OLS	Ordinary Least Squares
CEE	Central and Eastern Europe
COVID-19	Coronavirus Disease
RMK	Rancangan Malaysia ke
SARS	Severe acute respiratory syndrome

DOSM	The Department of Statistic Malaysia
SPSS	Statistical Package for the Social Science
ANOVA	Analysis of Variance
VIF	Variance Inflation Factor
NEP	New Economic Policy
GLCs	Government Linked Companies
PENJANA	Jana Semula Ekonomi Negara
MIDA	Malaysia Industrial Development Authority
MITI	Ministry of Investment, Trade and Industry
NCI	Non- Controlling Interest

ABSTRACT

CHAPTER 1

INTRODUCTION

1.1 Background of the Study

Following the end of the Second World War, the United States emerged as a dominant force in the global foreign direct investment (FDI) landscape. This was primarily due to the country's significant economic recovery and its pivotal role in aiding the world's restoration efforts following the widespread destruction caused by the fight. Foreign Direct Investment (FDI) plays a significant role in the worldwide economy, as evidenced by the fact that stock-FDI shares contribute over 20 percent to the overall global Gross Domestic Product (GDP).

In the context of Malaysia, foreign direct investment (FDI) commenced during the wealthy era of the Malacca Sultanate empire. The Malacca Sultanate, over a century ago, emerged as a prominent commercial kingdom, often recognized as the pinnacle of Malay civilization and the most advanced Malay society in the post-era. The city of Melaka was first discovered in the year 1400 by Parameswara, an Indian prince hailing from Palembang. The designation "Melaka" is derived from the botanical species known as *Phyllanthus pectineus*. While the primary motivation for European traders to venture to Malacca was indeed the purchase of spices, it is important to acknowledge that other valuable commodities and trading materials also played a significant role in these trade interactions. In one of his publications, Tom Pires, a Portuguese national who

resided in Malacca for a duration of two years during the early 16th century, asserts that the city of Malacca served as a significant hub for the exchange of goods from both the Eastern and Western regions. This implies that Melaka has remained unchanged, resembling Venice throughout that period.

The primary commodities traded are spices such as cloves, sandalwood, and nutmeg sourced from the Maluku Islands. Additionally, black and gold pepper is obtained from Sumatra, while India supplies textiles, China provides silk and ceramics, and the Philippines contributes sugar. Lastly, the Malay country offers tin and gold for trade. During its zenith, the trade volume of Melaka was observed to have reached a very modest figure of 2.4 million cruzados, which served as the prevailing currency utilized by the Portuguese.

During the period from 1986 to 1989, Brazil experienced a commerce volume that differed from the port of Seville, which recorded a trade volume of 4 million cruzados. The emergence and consolidation of Malacca, as well as the subsequent integration that transpired during that era, can be attributed to the interplay of trade and migration, which constituted the initial phase worldwide in the history of human civilization. The policies and institutions in Melaka are likewise founded upon the promotion and facilitation of trading operations for the sake of development. The World Trade Organization (WTO) may recognize the excellent nature of its commercial practices in terms of openness. Customs duties, encompassing both export and import, are typically levied on products, including gifts, and are calculated depending on the value and nature of the items, in addition to any applicable taxes. Merchant vessels of

considerable size were subject to a charge amounting to a maximum of six percent of the cargo's assessed value. It was customary for such ships to be granted an exemption from presenting any kind of gratuity. In the context of Melaka, it was customary for traders to engage in transactions with either the ship's captain or foreign merchants, thereafter selling the acquired products inside their hometown or engaging in barter exchanges for alternative commodities within the island nation. The foreign policy implemented during the peak of Melaka's prominence also played a pivotal role in supporting the growth of its trade and economy. Furthermore, Melaka forged a bilateral partnership with China through the means of economic investments. Undoubtedly, the service sector played a significant role in contributing to the Gross Domestic Product (GDP) in Malacca throughout that period.

During the Sultanate period of Melaka, a succession of trades was introduced, leading to significant growth in the trade sector throughout time. This growth can be attributed to the inflow of foreign direct investment. To date, the trade sector remains the primary driver of Malaysia's Gross Domestic Product (GDP). In accordance with the statement provided by MA TRADE (MECC) in 2007, the Malaysian economy experienced a significant shift from a reliance on primary commodities to a focus on industrialization during the year 1970. This transition was further bolstered by the development of the manufacturing and services sectors. The manufacturing sector's contribution to the Gross National Product (GDP) has experienced a notable increase, rising from 13.4 percent in 1970 to 31.1 percent in 2006. The entire investment in the

manufacturing industry has experienced a significant expansion, rising from RM2.1 billion in 1980 to RM46 billion in 2006.

The significance of foreign trade is growing, as evidenced by trade volumes surpassing RMI trillion in the year 2006. The proportion of total foreign commerce in relation to GDP experienced a significant increase, more than doubling and nearly reaching 200 percent in 2006, as opposed to the initial figure of 77.5 percent recorded in 1957. During the specified time frame, there was a notable growth in the export contribution to the Gross Domestic Product (GDP), reaching 103 percent in 2006, in contrast to the 42.4 percent recorded in 1957. Similarly, the import contribution to the GDP rose dramatically to 79.5 percent in 2006, compared to the 35.1 percent observed in 1957. Following the conclusion of the Second World War, American firms emerged as the dominant force in worldwide foreign direct investment (FDI), coinciding with the global recovery efforts aimed at rebuilding the devastated by the war world. The purpose of this analysis is the relationship between the unemployment rate, inflation rate, and GDP to foreign direct investment inflows in Malaysia in 1990-2020. Since the beginning, the phase of Foreign Direct Investment (FDI) has emerged as a global phenomenon primarily focused on OECD countries. Foreign Direct Investment (FDI) plays a global phenomenon significant role in the worldwide economy, with stock-FDI shares contributing about 20 percent to the overall global Gross Domestic Product (GDP).

1.2 Problem Statement

In the last few decades, Malaysia has become an important part of the global economy, and its appeal to foreign investors continues to rise. Significant growth and development have taken place in the Southeast Asian country in question, making it an appealing place for foreign direct investment (FDI). Still, the complicated nature of the global economy and the difficulties of dealing with problems in one's own nation's finances have led to questions about the main factors that make this draw and how they are connected. It is very important to study how the unemployment rate, inflation rate, and GDP are all connected and how they affect the amount of foreign direct investment (FDI) coming into Malaysia from 1990 to 2020.

The purpose of this research is to look at how the unemployment rate, inflation rates, GDP, and numerous other important economic indicators are connected and rely on each other, as well as how these factors affect the total amount of foreign direct investment (FDI) coming into Malaysia from 1990 to 2020. The point of this study is to investigate the underlying causes of the flow of Foreign Direct Investment (FDI). My goal is to find out if these factors are mostly affected by monetary policy, the way inflation works, GDP growth, or some combination of these factors. The results of this study are not only going to assist us in understanding more about the factors that affect foreign direct investment (FDI), but will also have real-world effects by giving lawmakers, investors, and other stakeholders better information they can use to make decisions. The main goal of this study is to put light on the complicated web of

interconnections that affect Malaysia's foreign direct investment (FDI) situation. The goal of this study is to answer important questions about how the Malaysian economy affects the global investment climate and to provide useful information for both researchers and business people.

1.3 General Objective

To identify the determinants that increase the economy with the entry of foreign direct investment into Malaysia.

1.3.1 Research Objective

1. To examine the individual impact of unemployment rates, inflation rates, and GDP growth on Foreign Direct Investment (FDI) inflows in Malaysia.
2. To investigate whether fluctuations in unemployment rates, inflation rates, and GDP growth have led to variations in FDI inflows, highlighting any significant trends or patterns.
3. To provide evidence-based insights and recommendations for policymakers and stakeholders on how to effectively manage unemployment rates, inflation rates, and GDP growth to optimize FDI inflows and foster sustainable economic growth in Malaysia.

1.3.2 Research Question

1. How to examine the individual impact of unemployment rates, inflation rates, and GDP growth on Foreign Direct Investment (FDI) inflows in Malaysia?
2. What investigation of fluctuate in unemployment rates, inflation rates, and GDP growth have led to variations in FDI inflows, highlighting any significant trends or patterns?
3. What evidence that insights and recommendations for policymakers and stakeholders on how to effectively manage unemployment rates, inflation rates, and GDP growth to optimize FDI inflows and foster sustainable economic growth in Malaysia?

1.4 Significance of the Study

The importance of this study comes in its examination of the complex interplay among unemployment rates, inflation rates, GDP, and their effects on the flow of foreign direct investment (FDI) in Malaysia for the period spanning from 1990 to 2020. The economic growth, progress, and enhanced integration of Malaysia into the global market in recent years have positioned it as an example subject for knowing the factors that drive foreign direct investment (FDI) and how these significant economic indicators have influenced the country's investment environment. Multiple factors highlight the importance of this study.

I. Economic Policy

Firstly, the economic policy implications of this issue are significant. The ramifications of the findings from this study will be significant to economic policymakers as Malaysia persists in its pursuit of economic development and prosperity. The data can serve as valuable input for the central bank's decision-making process on monetary policy, specifically in relation to unemployment rate determination. Additionally, it can offer insights and recommendations on strategies to effectively attract and maintain foreign investments. Comprehending the intricate relationship among these variables can facilitate the formulation of enhanced economic strategies aimed at promoting Foreign Direct Investment (FDI), hence bolstering the overall economic well-being of the nation.

II. Foreign Investors.

Next, the comprehension of the intricate interactions among unemployment rates, inflation rates, GDP, and FDI inflows in Malaysia holds significant importance for foreign investors, as it can offer useful insights to inform strategic decision-making processes. This knowledge possesses the potential to assist investors in conducting a more comprehensive evaluation of the risks and possibilities linked to investments in Malaysia, enabling them to make well-informed decisions that are in line with their investment objectives.

In addition, the capacity of Malaysia to attract Foreign Direct Investment (FDI) has significant ramifications for its competitive position in the international arena. Through a comprehensive understanding of the determinants that influence foreign direct investment (FDI), Malaysia may effectively augment its competitive edge and sustain its status as a preferred location for international investors. This study has the potential to provide insights into the specific areas that necessitate focus to maintain and augment foreign direct investment (FDI) inflows.

The concept of timing relevance refers to the importance of considering the timing of events or actions in relation to their impact or significance. The period from 1990 to 2020 holds particular significance considering the substantial transformations and occurrences that transpired within the global and Malaysian economies. During this era, there were significant events that took place, including the occurrence of the Asian Financial Crisis, the subsequent recovery of Malaysia, and the subsequent transition of the country into a prominent participant in the global economy. Gaining a comprehensive understanding of the impact of these variables on foreign direct investment (FDI) throughout this time of transformation provides significant academic insights.

III. Opportunity Jobs

The relationship between Foreign Direct Investment (FDI) and the unemployment rate in Malaysia is complex and influenced by a range of economic, social, and political factors. Foreign Direct Investment (FDI) can play a significant role in mitigating unemployment rates through its facilitation of economic growth, creation of employment opportunities, and stimulation of many sectors within the economy. Foreign corporations frequently engage in various forms of investment in Malaysia, such as establishing novel enterprises, expanding pre-existing ones, or forming collaborative partnerships with domestic firms. These endeavors have the potential to generate augmented job prospects within the country.

In summary, this research bears considerable importance as it offers a full comprehension of the interconnectedness between unemployment rates, inflation rates, and GDP in influencing foreign direct investment (FDI) inflows in Malaysia. The research findings have far-reaching consequences for various domains, including economic policy, investment attractiveness, competitiveness, academia, stakeholder decision-making, and long-term economic stability. The study's findings will provide useful insights for Malaysia and other emerging nations as they strive to improve their economic prospects. These insights will be instrumental in defining the trajectory of foreign direct investment and economic development in the future.

1.5 Research Model

$$FDI = \beta_0 + \beta_1 u + \beta_2 \pi + \beta_3 GDP$$

FDI=Foreign Direct Investment

u = Unemployment Rate

π = Inflation Rate

GDP = Gross Domestic Product per Capita

1.6 Research Hypothesis

H_0 : There is no correlation between the individual effects of unemployment rate, inflation rate, and GDP growth on the inflow of Foreign Direct Investment (FDI) in Malaysia.

H_1 : there is no correlation between fluctuations in unemployment rates, inflation rates, and GDP growth has led to variations in FDI inflows, which highlight any significant trends or patterns.

H_2 : There is no correlation between providing evidence-based insights and recommendations to policymakers and stakeholders on how to effectively manage unemployment rates, inflation rates, and GDP growth to optimize FDI inflows and foster sustainable economic growth in Malaysia.

1.7 Chapter Organization

The present research proposal has been formulated and organized into five separate chapters. The initial chapter serves as an introductory section to the present investigation. Chapter 1 involves various components that provide a comprehensive overview of the research. These components include the background of the study, statement of the problem, aims of the investigation, research questions, importance of the study, and organization of the study. Chapter 2 of the text encompasses a comprehensive analysis, which notably contains an interesting case study. The preceding literature in this section encompasses an introductory section, an in-depth study of the concept of foreign direct investment, unemployment rate, inflation rate, and GDP a summary of key findings from prior research, and a concluding statement. Chapter 3 of this research project includes the research methodology, which comprises the introduction, framework, and hypothesis of the study, as well as the design and process and concludes the chapter. The findings of this research are outlined in chapter four, encompassing the introductory section, the presentation of test results derived from the collected data, the interpretation of the study's outcomes, a comprehensive discussion, and the final conclusions. The final part of this study offers a comprehensive conclusion that encompasses a concise overview of the key findings, an exploration of the limits encountered during the research process, and a set of recommendations for future studies in this field.

1.8 Conclusion

In conclusion, it is important to figure out and plan for the things that make it easier for foreign companies to come to the country. We cannot say enough about how important it is for a country to have stable politics. Stable politics in a country mean that the economy is safer and has a better sense of direction. As a result, buyers will not be hesitant and will have a strong desire to make investments. People need to trust a country's management so that foreign investors are sure of themselves. If there are a lot of complicated governmental systems in place, especially in management, they can make things harder and take longer for investors, which can hurt the country indirectly. These reasons make it very important for the governing bodies to keep the country's government running smoothly so that problems do not happen that could hurt the country.

One more important thing for foreign investment is for countries to have good diplomatic relations with each other. To improve its business links with other countries, Malaysia could strengthen both bilateral and multilateral ties (Omar et al., 2012). Many things can be done to improve this two-way relationship, such as planning diplomatic trips to other countries. A country needs to take advantage of its good political relationships with other countries instead of being like a frog hiding behind its shell and refusing to interact with other people. Any country that does not work with the rest of the world and holds false beliefs about foreign business runs the risk of losing its right to exist. Multilateral links can be made by bringing together intergovernmental

organizations with many members, like ASEAN, the Commonwealth, the OIC, and others. It is believed that this kind of meeting will have a big effect on the economies of both the host country and Asian countries that are close by. It is also important to stress how important it is to highlight a country's infrastructure. Investment needs to be able to happen so that the government can provide infrastructure like roads, ports, airports, power grids, and information networks. Because of this, the government needs to build a complete infrastructure to make our country more appealing to foreign investors who want to put their money here. When a country has a complete and well-developed infrastructure, good things can happen for that country.

CHAPTER 2

LITERATURE REVIEW

2.1 Introduction

A comprehensive analysis of this topic, including both a general and a specific review, can be found in Chapter 2. The purpose of this chapter is to examine macroeconomic indicators such as unemployment, inflation, and GDP in connection to FDI flows into Malaysia between the years 1990 and 2020. This chapter's literature review was accomplished by careful study, assessment, and analysis of the compiled journals and other sources. The conclusions from the last study provide a framework for this one's data analysis and hypothesis testing. The results of past studies provide empirical evidence supporting the hypothesis that there is a correlation between the independent variables and the outcome variables. Examining research from many angles is beneficial in order to acquire a full grasp of a topic. This might be accomplished by thinking about the theories and insights offered in reviews from various academic journals.

2.2 Theoretical Reviews

2.2.1 Theory of Foreign Direct Investment

Marxism is recognised as establishing the theoretical foundation for the concept of foreign direct investment. The views of classical Marxists on imperialism serve as the initial explanations for foreign direct investment (FDI). The excess capital approach is a significant component of Marx's theory of foreign direct investment (FDI). According to this approach, developed countries must acquire substantial capital to facilitate rapid economic expansion, seize investment contract opportunities, and enhance their export capabilities (Hilferding 1981, p. 234).

Next, the second method pertains to the seeking of additional and colonial gains, which are sought after by colonisers or developed nations. Countries characterised by low average salaries present an opportunity for generating additional profits. Undoubtedly, these countries hold significant appeal for capitalist entities and those with substantial influence (Hilferding, 1981, p. 328). Nevertheless, it is a fact that the majority of foreign direct investment (FDI) occurs within the context of developing nations. The concentration of investment possibilities is not limited to industrialised nations. In contrast, the Third World experiences comparatively lower labour productivity, leading to reduced profit rates in emerging countries, despite the presence of low labour rates or low raw material costs (Milios, 1989).

There exists a critique of the perceived lack of innovation in the determinants of these two approaches. However, it is crucial to note that Marx's theory effectively elucidates the phenomenon of foreign direct investment (FDI) inside developed capitalist nations. The research conducted by Busch, Neusuess, and Schoeller (1984) examines the relationship between foreign direct investment (FDI) among industrialised countries and how it interacts with international trade. Busch (1984) asserts that Marx's theoretical law serves a functional role. An intrinsic value function that is adjusted based on the dynamics of the global market. Thus, foreign direct investment (FDI) is acquired and maintained through the functioning of a nation's economic sector, which holds a significant place in the global market (Busch, 1984)

However, this strategy generates supplementary financial gains by exporting commodities to international markets, while domestic producers exhibit comparatively lower levels of labour productivity. Countries with high labour productivity will encounter an overvaluation of their national currency as a result of an excessive trade surplus, leading to more earnings. Simultaneously, the trade deficit engenders a depreciation of the domestic currency. The dominance of industrialised countries in overseas markets is currently being challenged by local manufacturers, except instances when manufacturing has been transferred to foreign markets. Hence, in the event of a currency depreciation, safeguards will be extended to economically disadvantaged industrial nations that typically attract foreign direct investment (FDI) inflows.

Nevertheless, the sectors within less developed nations that exhibit labour productivity beyond the national average can gain a competitive advantage, in terms of increased profits, through an exchange rate mechanism in international commerce, similar to that of developing countries. One potential advantage in international competitiveness, such as through the correction of exchange rates, is the potential for foreign direct investment (FDI) to move from less developed countries to developing countries. Foreign Direct Investment (FDI) serves as a linear or bilateral indicator, while concurrently functioning as a point of reference for productivity enhancement among minor industrialised nations.

2.3 Conceptual Reviews

2.3.1 Foreign Direct Investment

Foreign Direct Investment (FDI) can be broadly characterized as the cross-border movement of management talent (Alvstam, 1993). Foreign Direct Investment (FDI) is commonly quantified by assessing international capital transfers. However, it should be noted that FDI includes not just the movement of financial capital, but also the transfer of human resources. Foreign Direct Investment (FDI) encompasses an inflow of tangible investments, including capital, technology, and knowledge, typically facilitated by multinational corporations (MNCs) or transnational corporations (TNCs).

As stated by the United Nations in 1997, foreign direct investment (FDI) refers to an investment characterized by a prolonged association, wherein foreign investors or holding firms possess ownership interest and exercise control over the economy of the host country. This demonstrates that foreign direct investment (FDI) enables investors to exert a substantial influence on the governance and operations of companies or enterprises created in a foreign jurisdiction. From an economic perspective, foreign direct investment (FDI) can be regarded as advantageous for the host country. This is primarily due to the infusion of capital that FDI brings, which addresses the capital shortage in the host country and facilitates the development of the country's industrial sector. Additionally, FDI contributes to the strengthening of the local currency market and promotes investment in production facilities and equipment. This phenomenon has the potential to enhance productivity, attract more investments, and stimulate local demand.

Apart from that, this scenario also presents prospects for the development of associated downstream and upstream sectors by indigenous business owners. The inflow of foreign direct investment (FDI) in the form of production enterprises in the host nation has resulted in the generation of numerous employment possibilities and an ensuing drop in the local unemployment rate. The engagement of the indigenous workforce in this industry has facilitated their acquisition of internationally recognized skills, managerial approaches, and commercial expertise. The integration of the local economy into the global economy can be facilitated by the involvement of

multinational corporations. Multinational corporations have the potential to serve as a valuable mechanism for facilitating the integration of national economies into the global marketplace. Moreover, one of the primary advantages of foreign direct investment (FDI) is the transfer of technology from industrialized nations to the recipient or "host" countries.

This study focuses on the underlying concepts of GDP, foreign direct investment (FDI), unemployment rate, and inflation rate. A comprehensive examination of these concepts facilitates comprehension of the potential relationships.

2.3.2 Foreign Direct Investment towards Gross Domestic Product.

It is predicted that worldwide inflows of direct investment will exceed \$1.2 trillion in 2010, rise to a range of \$1.3–1.5 trillion in 2011, and peak at \$1.6–2 trillion in 2012. These forecasts come from a report by UNCTAD (2010), which notes a significant uptick in direct investment. The basic objective of attracting FDI into a country is to hasten the rate of economic growth. Foreign direct investment (FDI) is generally thought to be beneficial to a country's economic development.

Although there are many organizations looked into the effects of FDI on economic growth, they have all come to different conclusions, suggesting that FDI can harm a country's economy. According to the findings of Görg and Greenaway in 2004 concluded that FDI harmed economic growth. Foreign direct investment (FDI) was studied by Elijah et al. in 2009, and the results were

analysed in terms of their effect on Italian businesses between 1996 and 2006. Researchers found that low-skilled workers' employment chances inside the underlying company's domestic industry were negatively impacted by the presence of foreign organisations. It was also discovered that the FDI scenario in Italy harms the demand for highly qualified individuals in Italy. People who have a lot of money to spend. Foreign direct investment (FDI) quantity has a negative tendency on the growth of the service-oriented economy (Doytch and Uctum, 2011).

Individuals with a considerable amount of earnings. Foreign direct investment (FDI) harms the growth of the service sector as a whole (Doytch and Uctum 2011). Foreign direct investment (FDI) and economic growth have been shown to go hand in hand in some empirical studies (Blomstrom et al., 1992; Borensztein et al., 1998; Branstetter, 2006; Sinani & Meyer, 2004). According to research by Blomström et al. (1992), a country's ability to successfully absorb new technology as a result of foreign commercial investments depends on its level of development. Education, labour force participation, foreign investment inflow, pricing structure, and fixed investment proportion are all included in this baseline.

Next, financial development is a form of receptive ability that has been included in the study of the connection between FDI and economic growth because of its role in enabling the positive growth benefits of FDI spillovers. Multiple empirical research has provided support for the idea that the level of financial development is a major factor in the connection between FDI and

economic growth. Several studies, including those by Hermes and Lensink (2003), Alfaro et al. (2010, 2004), Ang (2009), Lee and Chang (2009), and Azman-Saini et al. (2010a), have discovered that a country's financial development level increases the robustness of the FDI-economic growth connection. These studies provide strong evidence that a country's ability to attract and retain foreign direct investment (FDI) contributes to economic growth. The ability of the country to reap the growth benefits of FDI spillovers is largely responsible for the positive correlation observed.

Hence, Malaysia has emerged as the second favoured place in Southeast Asia, following Singapore, for performing operations and growing investment undertakings. Despite the widespread apprehension caused by the epidemic and its economic ramifications, Standard Chartered's analysis shows that the growth of these investment initiatives continues to rely primarily on the international market.

Source: Department of Statistic Malaysia.

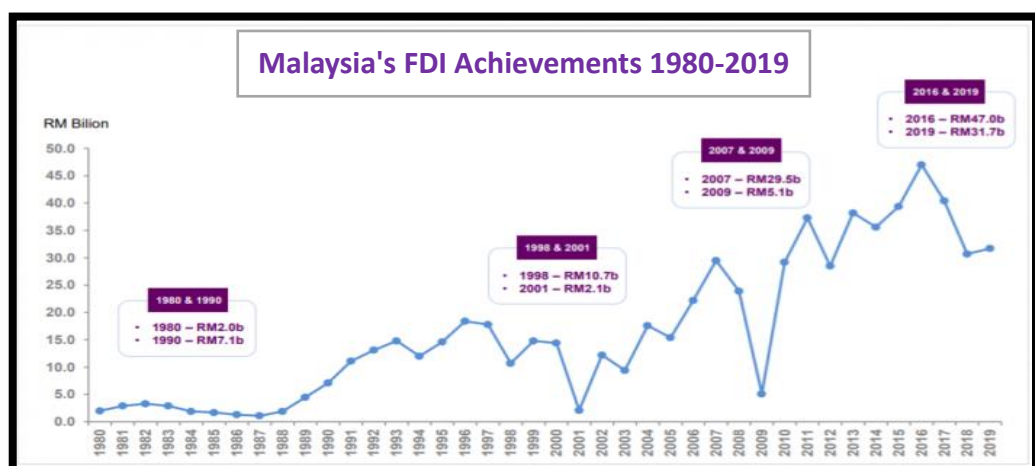


Figure 1: FDI Performance 1980 – 2019

Source: Lembaga Pembangunan Pelaburan Malaysia (MIDA)

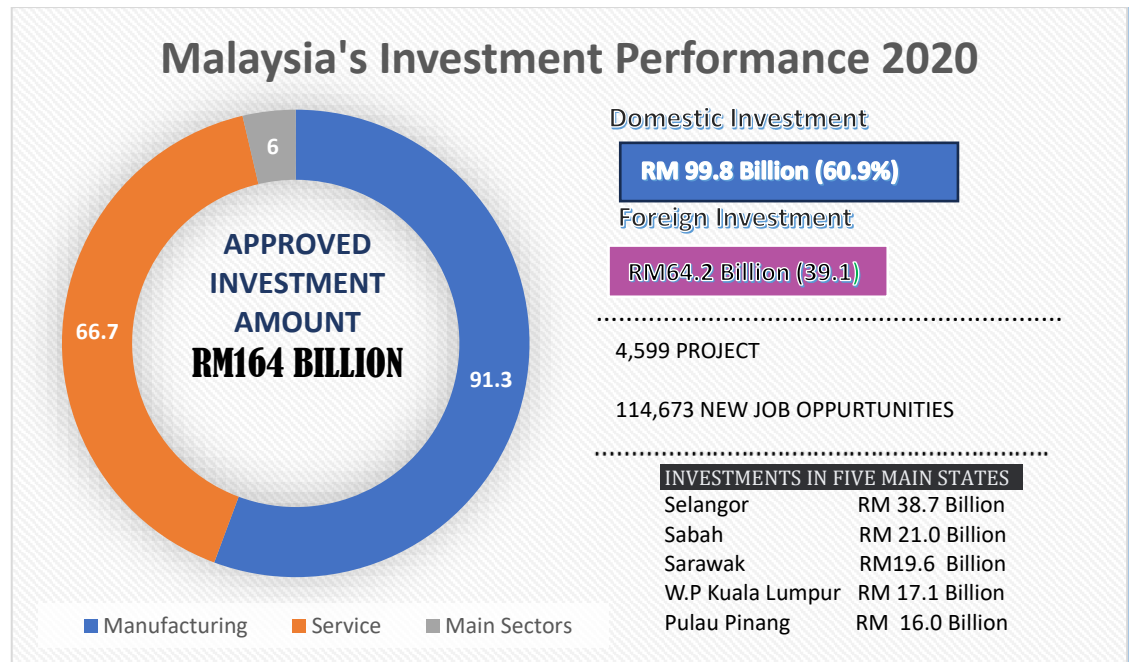


Figure : Malaysia Investment Performance 2020 Foreign Direct Investment of RM 164.2 Billion

In summary, investing in foreign investment has the potential to boost the domestic economy. It is crucial to underscore the significance of emphasising foreign investment as the main source of national revenue, as it contributes to the advancement of the country's economy in alignment with industrialised nations.

2.3.3 Foreign Direct Investment towards Inflation

The implementation of the Overnight Policy Rate (OPR) as a means of controlling inflation is anticipated to facilitate the inflow of foreign direct investment (FDI) into the country's economy. While OPR (Overnight Policy Rate) and FDI (Foreign Direct Investment) are not inherently interconnected, it is important to recognize that a decrease in OPR can lead to a significant and rapid inflow of capital into the market. This is particularly evident due to the propensity of consumers to engage in excessive spending, hence stimulating a rise in inflation.

According to Fuad Mohamed Berawi, a Senior Lecturer at the College for Economics, Finance, and Banking at Universiti Utara Malaysia, the presence of elevated inflation rates has the potential to result in a reduction in foreign direct investment (FDI). Elevated levels of inflation can lead to a depreciation of the domestic currency, so posing a potential threat to the value of assets supported by the domestic currency concerning foreign currencies.

Therefore, to mitigate the potential decrease in foreign direct investment (FDI), it is imperative to decrease inflation by raising the Overnight Policy Rate (OPR). However, the presence of a low inflation rate in isolation may not suffice to attract Foreign Direct Investment (FDI) unless it is accompanied by political and governance stability, as well as government measures that actively encourage investment.

A large proportion of researchers and economists have not yet agreed on how best to define inflation. However, various researchers' study suggests that the concept can be described in two ways either as a continuous rise in the overall price level or as a continuous decline in the purchasing power of the currency (Makinen, 2003). Many economists in practice have argued that inflation affects economic growth rates in different countries around the world. However, a large body of research has produced conflicting conclusions about inflation's effect on economies. Contends that the inflation-economic growth relationship is a serious macroeconomic concern (Li 2006). The author sets this argument against the appropriate backdrop. Despite divergent opinions, most modern economists agree that inflation and economic growth have an asymmetrical long-term relationship. Inflation is correlated negatively with economic growth, according to numerous recent empirical research, but only if it remains below a certain threshold (Romer, 1990). The conventional wisdom rests on the idea that inflation and economic expansion have a relationship in a way that defies linearity over the long term. Inflation is thought to have a distorting influence on the tax system, which could discourage long-term investment because of the misperception that the currency is being devalued.

In addition, foreign direct investment (FDI) is more likely to flow into nations with low inflation rates. According to the study, this trend is the result of a reduction in the cost of capital caused by the inverse relationship between low inflation and nominal interest rates. In addition, overseas investors would be better able to maximize their returns on investment if they had access to low-

interest funds. This is because it would make it easier for them to find acceptable partners in the host country that have sufficient domestic investment to complement their initiatives.

2.3.4 Foreign Direct Investment towards Unemployment.

There is a consensus among economists about certain aspects, one of which is to the importance of Foreign Direct Investment (FDI) in fostering economic growth in any given country, particularly in the context of emerging nations. Denisia's (2010) study on foreign direct investment (FDI) has contributed to a deeper comprehension of the economic structure and the behavioral patterns shown by its participants. The empirical results provide a substantial contribution to enhancing comprehension of the many mechanisms via which foreign direct investment (FDI) may lead to a rise in gross domestic product (GDP). In general, foreign direct investment (FDI) can impact many aspects, such as employment rates, levels of productivity and competitiveness, and the diffusion of technical innovation. In their seminal work, Driffield and Taylor (2000) provide a comprehensive analysis of the impact of Foreign Direct Investment (FDI) on the labor market dynamics inside the United Kingdom.

There is an expectation that the implementation of measures aimed at promoting more foreign direct investment from external sources may contribute to a reduction in structural unemployment. The empirical study encompasses the involvement of the G-7 nations, who together exhibit the largest aggregate

capital outflow. The research utilises yearly data covering the time period from 1981 to 2002. There exists a positive correlation between decreased unemployment rates and heightened levels of foreign direct investment (FDI) across all member nations of the Group of Seven (G-7). Schemerer (2012) proposed a comprehensive trade model that includes many sectors and integrates the concept of search conflicts within the labour market. This study utilises macroprudential data pertaining to unemployment, foreign direct investment (FDI), and labour market institutions in 20 member countries of the Organisation for Economic Co-operation and Development (OECD). Its objective is to analyse and assess the established correlation between FDI and unemployment rates. The primary objective of data collection was to examine and assess the established correlation between foreign direct investment (FDI) and unemployment rates. The data used in this study covers a period spanning from 1980 to 2003 and includes results from a total of twenty distinct nations.

However, the findings of the study provide support for the proposition that a decrease in the overall unemployment rate of a country is associated with the gross foreign direct investment (FDI) model. The aforementioned outcome aligned with our theories, therefore confirming our expectations. During the period spanning from 1990 to 2008, Mpanju (2012) did a research study in Tanzania with the objective of investigating the potential relationship between foreign direct investment and the growth of the nation's labour force. The current study employs a quantitative research methodology and adopts a case study design to give an economic analysis. This analysis is conducted using the

ordinary least squares (OLS) regression approach. The examination of the data indicates a distinct and robust positive correlation between the variables, indicating that Foreign Direct Investment (FDI) has a substantial impact on the distribution of job possibilities across different locations within an economy. Mun, Lin, and Man (2008) conducted a study to examine the correlation between gross domestic product (GDP) and foreign direct investment (FDI). The focus of their investigation was centred on Malaysia. The study's results provide empirical evidence supporting a substantial positive association between the two variables examined.

Based on the research conducted by Nucu (2011), it has been observed that an augmentation in the degree of foreign direct investment (FDI) inside a nation may provide a favorable effect on the nation's comprehensive balance of payments. This phenomenon may be attributed to several causes, including more accessibility to state-of-the-art technology and increased prospects for work. The infusion of external investment is crucial for fostering economic development and progress in the Central and Eastern European (CEE) region. The aim of this article is to do an econometric analysis on the impact of foreign direct investment (FDI) on Romania's gross domestic product (GDP) and unemployment rate over the period from 1991 to 2009. The researchers have provided evidence to support the notion that there exists a positive correlation between gross domestic product (GDP) and foreign direct investment (FDI), whereas conversely, a negative relationship is shown between unemployment and FDI. In their study, Chaudhuri and Banerjee (2010) examine the impact of

foreign direct investment on agricultural enterprises in a developing nation. Their analysis incorporates a model that accounts for the concurrent unemployment of both skilled and unskilled laborers. In this study, a general equilibrium model was used, including three distinct sectors, to facilitate the inquiry. Based on the findings, the involvement of foreign direct investment (FDI) in the agriculture sector has the potential to enhance overall societal welfare.

Moreover, foreign direct investment has the capacity to alleviate the adverse effects of unemployment on both the broader economy and the labour market. The unresolved issue is to determine the optimal sector, either agricultural, secondary, or service, to prioritise in developing nations as a means to increase economic development and reduce poverty levels. This issue poses a challenge for nations undergoing a transition from poverty. The Variance Decomposition technique was used in research done by Ismail and Latif in 2009. The present study examines the interconnectedness among foreign direct investment (FDI), exports, unemployment, and gross domestic product (GDP) in Turkey from January 2000 to April 2007. This investigation employs statistical techniques, including vector autoregression and impulse response function analysis. The aforementioned methodologies were used to examine the interconnectedness between various factors.

Source: World Bank

Evidence¹⁸ by Region	Number of Studies	Study Characteristics	Number of Studies
Global	15	Theoretical	11
East Asia and the Pacific	18	Theoretical	11
Europe and Central Asia	11	Empirical	54
Latin America and Caribbean	7	Empirical	54
Middle East and North Africa	1	Literature Reviews	8
South Asia	2	Literature Reviews	8
Sub-Saharan Africa	4	Literature Reviews	8

Table 1: Reviewed Studies on FDI's Effect on Employment and Wages in Local Firms.

According to the table above from the World Bank, Foreign direct investment (FDI) has the potential to significantly impact employment and wage growth within domestic businesses in developing economies. The subsidiaries of multinational corporations in these countries generally experience a significant

increase in employment rates and pay subsequent to the influx of foreign investment. The impact of compensation is more pronounced among persons with higher levels of skill and expertise. Although there has been a significant increase in the number of positions in upstream industries, the corresponding compensation increments have been very modest. Foreign direct investment (FDI) exerts a moderate influence on domestic competitors, while its effects on employment and wages are comparatively less pronounced.

Several factors influence the impact of foreign direct investment (FDI) on domestic firms. These factors encompass the characteristics of foreign direct investment (FDI), the scale of domestic enterprises, the percentage of domestic ownership, and the technological advancement within the industry. Despite the proposal of various potential transmission channels, further empirical research is necessary to ascertain their existence and significance. The extant body of literature provides insights into the mechanisms by which foreign direct investment (FDI) influences employment and wage levels, as well as the mediating factors that contribute to these effects. However, it is important to note that the current scope of this coverage is constrained, and our understanding of the various factors inside host nations and domestic firms that contribute to the amplification of positive outcomes in MNC-supplier interactions within upstream industries remains restricted.

In order to address these knowledge deficiencies, researchers must conduct a comprehensive analysis of individual case studies, to ascertain the extent to which multinational corporation (MNC) subsidiaries impact

employment outcomes within local businesses. The insights provided can be utilised to generate microdata for empirical estimation.

2.3.5 Foreign Direct Investment during the Pandemic Covid-19 Crisis.

Source: DOSM

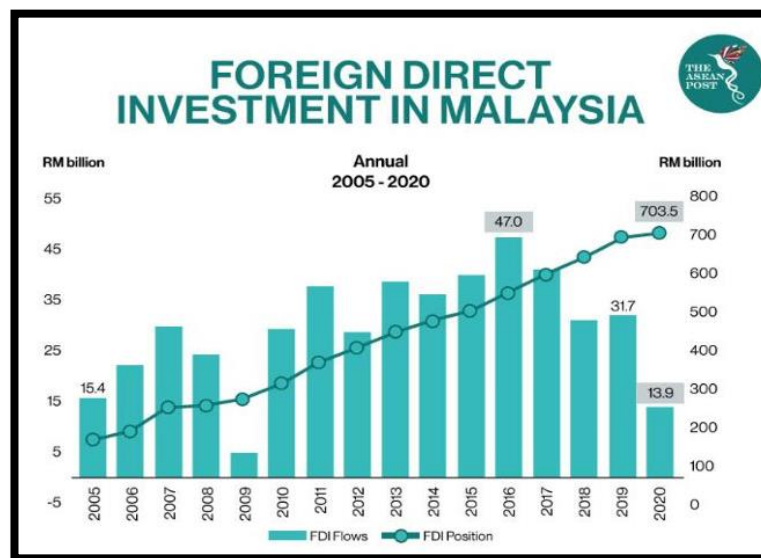


Figure 2: Foreign Direct in Malaysia during COVID-19.

This research aims to examine the impact of COVID-19 on foreign direct investment (FDI) inflow as well as other factors that restrict the acquisition of FDI commitment, which in turn impact the economic track. The nature of this study might be described as descriptive as well as empirical. Secondary data is used for the analysis. As a result of the country's fast economic growth, the government has prioritised many sectors, including agriculture, tourism, power,

information technology, infrastructure, and more, making FDI possible. Fund pledges for foreign investment are being both welcomed and enforced by the government.

However, foreign direct investment (FDI) pledges have fallen short of expectations because of the COVID-19 epidemic. People are reluctant to invest for reasons other than the possibility of a pandemic. The business climate, insufficient infrastructure, a lack of human resource knowledge, political shifts, ineffective leadership, natural catastrophes, a diverse and ever-changing landscape, taxation, bureaucracy, and climate change are all significant obstacles to investment. Foreign direct investment (FDI) was a major driver of economic development up until the 2020 epidemic when it began to decline. Segundo Camino-Mogro and Mary Armijos state that foreign direct investment (FDI) is a key component that helps the economy flourish (2020). Developing nations place a special emphasis on it. In this method, they assess the potential impact of restricted regulations on foreign direct investment (FDI). They do this through using exogenous variation that is a consequence of the COVID-19 pandemic and lockdown protocols.

An overall substantial decline in FDI inflows is found by combining official administrative FDI data with a regression distortion in time design. Also, when looking at the consequences of various forms of foreign direct investment (FDI), they discover that increases in capital have a bigger impact than brand-new company constitutions (McKinsey, 2020). They also look at the possibility that FDI is positively affected by the partial re-opening of activities.

Their primary result has significant policy implications for the development of policies to encourage investment, namely that lockdown policies decrease FDI inflows.

Source: Department of Statistics Malaysia

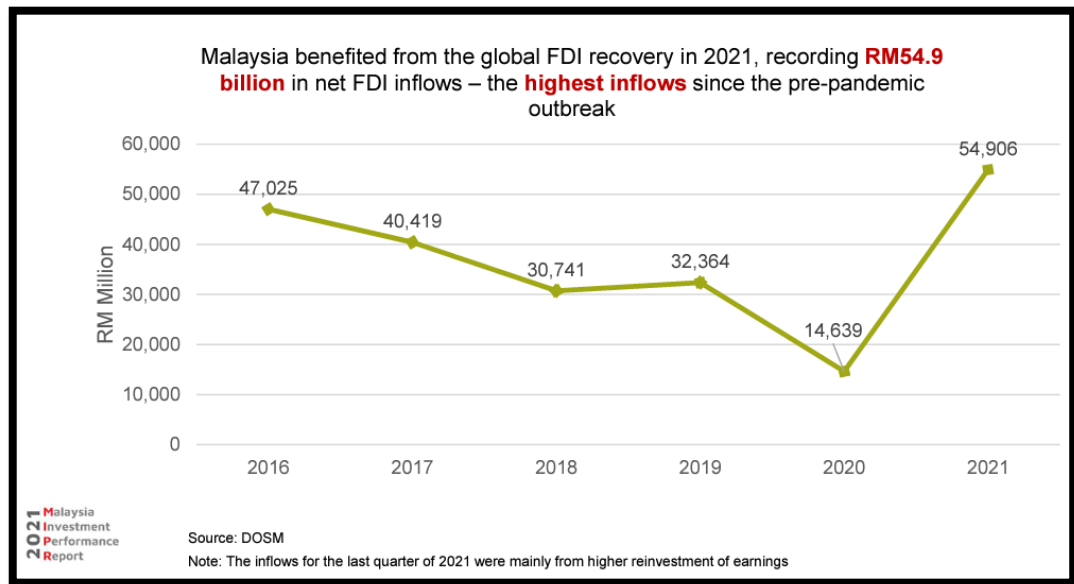


Figure 3: Malaysia benefited from the Global FDI recovery in 2021

Based on the figure above, in 2020 the worldwide effects of COVID-19 had a profound impact on Malaysia's foreign direct investment (FDI), leading to a substantial decline in the inflow of FDI. The implementation of lockdown measures led to significant disruptions in supply networks, while travel restrictions effectively stopped international conversations. Consequently, economic worry permeated the whole world. Investors halted the growth plans due to apprehensions about volatile markets and disrupted operations. Due to the recession caused by the epidemic, greenfield projects that were previously

approved have been delayed, existing investments are at risk of being divested, and the appeal of Malaysia's previously thriving sectors has decreased. Malaysia had a challenging economic situation due to a combination of global risk aversion and local concerns, which resulted in a decrease in foreign direct investment (FDI) inflows. The economic consequences of the virus were significant, since it spread without regard for national borders.

2.3 Conclusion

According to James B Ang (2008), the economic growth of Malaysia relies on foreign direct investment (FDI). Malaysia has been successful in attracting foreign direct investment (FDI) due to many factors, such as its policy direction, effective management, sustained economic development, and the efficiency of its financial system.

The results of the study originally suggested that the inflow of Foreign Direct Investment (FDI) into Malaysia had a somewhat positive trend from 1960 to 2005. Nevertheless, there was a decline in the number of foreign direct investment (FDI) projects in Malaysia between the years 1997 and 1998. The earlier outcome may be attributed directly to the practise of currency speculation, which was a key factor in precipitating the Asian financial crisis. According to James B. Ang (2008), Deichman, Kandis, and Sayek (2003) argue that financial progress is seen as advantageous. The growing importance of the financial industry facilitates the purchase of modern technology and the

development of innovative infrastructure. The ability to provide services that are both economically efficient and environmentally sustainable in the long run is facilitated by technological advancements.

The economic expansion seen in Malaysia during the implementation of the 8th Malaysia Plan (RMK-8) has shown encouraging progress. Despite the presence of several global challenges such as the ongoing wars in Afghanistan and Iraq, the outbreak of acute respiratory syndrome (SARS), and the escalation of crude oil prices during the years 2004 and 2005, all sectors demonstrated robust development and reflected a strong economic foundation. The 9th Five-Year Development Plan (9th RMK) prioritises the macroeconomy, focusing on strategies to maintain economic stability and enhance sustainable growth.

CHAPTER 3

METHODOLOGY

3.1 Introduction

Chapter three of this study focuses on the interpretation of data sources used to identify specific variables that include the factors influencing the entrance of foreign direct investment into Malaysia. Among the key indicators under consideration are the Gross Domestic Product (GDP), Inflation Rate, Unemployment Rate, and Foreign Direct Investment (FDI) between Malaysia and the largest investor countries during a certain period. Furthermore, this chapter provides a study of the analytical model used for the identification of independent and dependent variables. To effectively accomplish the study's aims, this research will use four specific tests: ANOVA by regression analysis test, Multicollinearity Test, Autocorrelation Test, and Heteroscedasticity Test.

3.2 Research Design

Research design provides a framework for researchers to determine the specific methods and procedures necessary to get the required information systematically and rigorously. It may also serve as a means of outlining techniques and processes for analysing data. This subtopic will include the

objectives of the research, various methodologies used for examination, and the temporal scope of the study.

3.2.1 Purpose of the Study

The objective of this research is to ascertain the impact of foreign direct investment (FDI) on the independent variable. The present study seeks to examine the impact of independent factors on foreign direct investment (FDI) in Malaysia, a nation that is widely recognised as being in a state of development.

3.2.2 Type of Investigation

The method of investigation used in this study is focused on establishing a connection between variables. The objective of this study is to examine the relationship between Malaysia's Foreign Direct Investment (FDI) and selected indicators, including the inflation rate, unemployment rate, and Gross Domestic Product (GDP). The aim is to analyse the impact and causal factors associated with Malaysia's FDI.

3.3 Data Collection

The process of getting, gathering, and assessing the data to be utilised for testing and also to match all of the results are included in the data collection, which may be characterised as the activities themselves. For this study, all of the data come from secondary sources. The data for the dependent variable (Foreign Direct Investment) and the independent variables (GDP, inflation rate, and unemployment rate) have been collected from Datastream, the World Bank, Trading Economics, MacroTrends, and DOSM every quarter from 1990 until 2020. The period for this study is from 1990 until 2020.

The base period for this investigation was created every quarter beginning in 1990 and continuing through 2020. This took place so that all variables in this research could be standardised. There were a total of 30 observations made in this research study.

3.4 Theoretical Framework

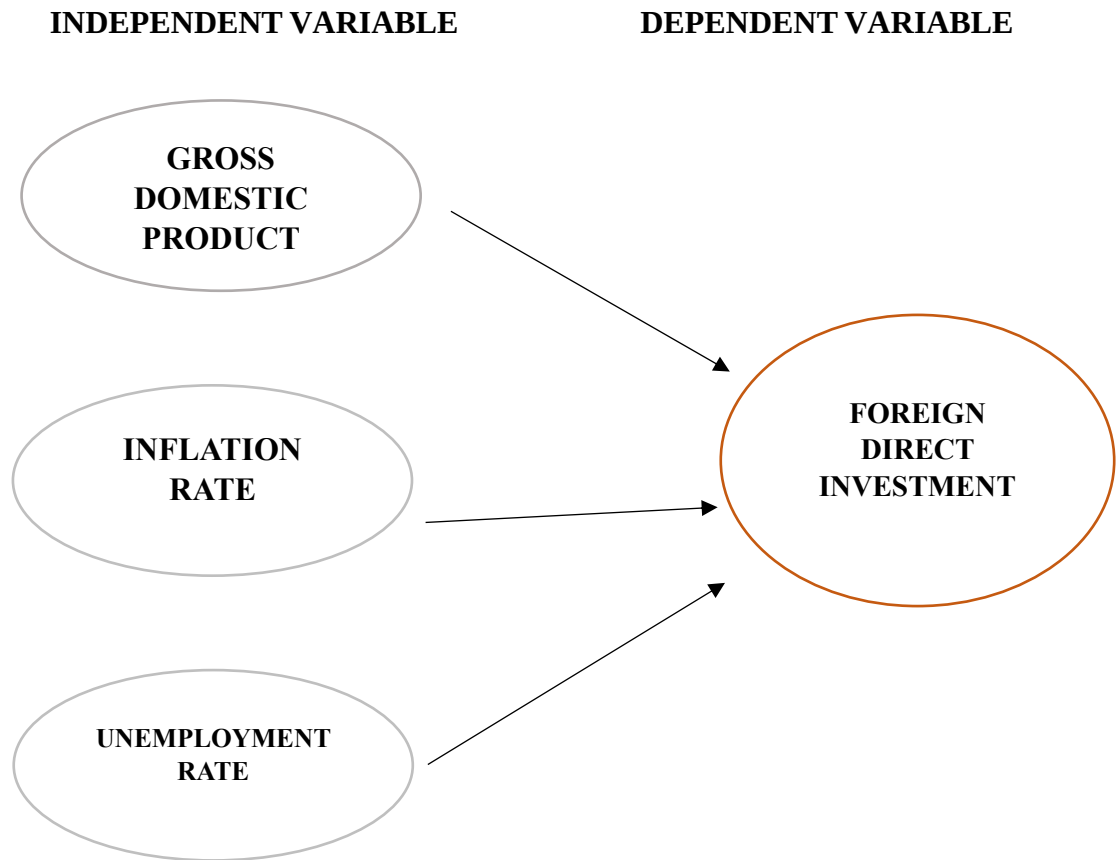


Figure 3.3 *Theoretical Framework of Study*

3.5 Hypothesis

The establishment of a hypothesis has significant importance about the anticipated findings or consequences of the investigation. The majority of research studies include the formulation of a hypothesis, which serves to establish the anticipated relationship between the dependent variable and the independent factors. There are two distinct sorts of hypotheses on variables,

namely the null hypothesis and the alternative hypothesis. One of the two hypotheses will be rejected depending on the study findings that are being collected.

3.6 Data Treatment and Methodology.

The Statistical Packages for Social Science (SPSS) software is used for the generation and analysis of data about research findings and the subsequent testing of results. Various treatment and methodological approaches may be used to examine the association between the dependent variable and the independent factors.

3.6.1 ANOVA

Analysis of variance (ANOVA) seeks to discover distinct data groupings. A null hypothesis may be presented to the data population in order to achieve this. The null hypothesis says that data from a random sample of the same population has the same predicted mean and variance, according to an article published in 2017 in the journal *Application of the Anova Method for Analysis of the Mechanical Properties of Coconut Fibre Composites* by Junri Lasmon Marpaung and colleagues.

3.6.2 Coefficient (B)

The coefficient may be used to elucidate the impact of an independent variable on a dependent variable. Koop (2008) defines β as the marginal impact of the explanatory variable (X) on the dependent variable (Y) while assuming that the other variables stay constant.

3.6.3 Measure of Fit (R-Square, R^2)

The coefficient of determination, denoted as R^2 , is a measure of statistical significance used in regression analysis to evaluate the efficacy of the regression equation in explaining the variability of the dependent variable. The coefficient of determination (R^2) is the main measure used to evaluate the performance of basic multiple regression models. R^2 , also known as the determinant coefficient, is an indicator that is frequently employed in statistics to assess the adequacy of a model's fit.

3.6.4 Adjusted R^2

The objective of using the adjusted R^2 is to evaluate the degree of goodness of fit after making adjustments for the total number of variables. A larger assessment of R^2 is often considered favorable when it approaches unity. For instance, when the adjusted R^2 value is 0.9345, it indicates that the inclusion of

macroeconomic factors in the regression analysis accounts for 93.45% of the variability found in the regression model, taking into account the number of explanatory variables included in the model.

3.6.5 Multicollinearity

This study serves as the step in assessing whether the model displays significant multicollinearity. In a multiple regression model, multicollinearity occurs when three or more independent variables are significantly related to each other, as stated by Gujarati and Porter (2009). When the Centred variance inflation factor exceeds 10, it signifies that multicollinearity has a significant impact on the model. The model is undesirable and the regression results are unreliable as a result.

Researchers have used the term "independent variable" to describe the independent variable that is used to explain or predict the value of a dependent variable. The so-called independent variables may not really be statistically independent, however. However, it's not out of the question that most of the independent variables are interrelated. Before anything else, the researchers wanted to see whether there was any evidence of multicollinearity by testing the model's independent variables for significant correlations. To find out whether the variables that are thought to be independent are really related, the researchers will do covariance analysis. Many problems might arise when

multicollinearity is present in regression. The sign of the actual relationship may be at odds with the sign of the regression coefficients in some cases due to multicollinearity. Therefore, in cases of high multicollinearity, researchers cannot rely on the individual coefficients for data interpretation. The reason is, that this affected both the statistical significance and the capacity to use individual regression coefficients to describe the relationships.

Larget (2007) states that in the presence of multicollinearity, statistically important variables could seem to be less so, and standard errors might be larger than they are. Researchers have come to this same conclusion. Understanding the degree of correlation between the independent variables is crucial for conducting a multicollinearity test. The results are provided as both an individual R squared and a Variance Inflation Factor (VIF). If any of the variables have substantial R-squared and VIF values, then multicollinearity is affecting the model (Motulsky, 2002).

3.6.6 Autocorrelation

According to Gujarati and Porter (2009), one way to describe autocorrelation is as the correlation between members of the data that are organised by time and place. Just like there may be a correlation between time series data and disturbance words, the same may be true here. There are a lot of potential causes of autocorrelation, such as researchers using the wrong functional form or

neglecting to include important variables in the model. If the model in the issue shows signs of autocorrelation, researchers run the risk of getting biased conclusions.

3.6.7 Heteroscedasticity

After that, the researchers check for heteroscedasticity to see whether the variance of the error terms is constant. Models with heteroscedasticity issues, according to Gujarati and Porter (2009), have error terms with non-constant variance. A wider variance is possible when there is a tendency for some independent variables to have higher or lower values. This means that the inefficient model with residual heteroscedasticity will no longer have minimum variances. Because of this, people will draw the incorrect conclusion. According to the theory, fixing heteroscedasticity will be a challenge. I can guarantee you that this will happen. To fix the standard errors of ordinary least squares estimators and use them for statistical inference, one may use White's heteroscedasticity consistent variances and standard errors (Gujarati & Porter, 2009). With a large enough sample, this should be doable.\

3.7 Summary

In conclusion, the data that was supplied has been organized in such a way that it can be used and analyzed to determine the outcome of the research question. The study design that had been developed before this point paints an accurate

image of the problem that has to be solved. The hypothesis has already been formulated to provide support for the independent factors of the dependent variables for the result that will be shown in the subsequent chapter. This result will be presented in the following chapter. In this chapter's approach, several points need to be clarified and understood about the test that will be carried out in the next chapter. To guarantee that the results are accurate for all variables and to comprehend how those variables are related to one another, the data that have been acquired will be evaluated by using the methodology and the estimate equation. As a result, it will be discussed which hypotheses have the potential to be validated and which variables have the greatest impact on foreign direct investment (FDI) in Malaysia.

CHAPTER 4

DATA ANALYSIS AND FINDINGS

4.1 Introduction

This chapter presents the comprehensive outcome derived from the secondary data. The emphasized goals from the previous chapter are addressed by using the findings to answer both the objectives and the hypothesis. This chapter summarizes the results obtained from analyzing the data using the Statistical Packages for Social Science (SPSS) and Microsoft Excel 2010.

The primary aim of this chapter is to investigate the existence of a substantial correlation between the dependent variable (Foreign Direct Investment) and the independent variables (unemployment rate, Gross Domestic Product rate, and inflation rate).

4.2 Regression Analysis

Variable	β	Standard Error	Standardized Coefficient Beta	t	Significance	Result (H_0)
Constant	10.670	3.181		3.354	.002	
GDP	.167	.172	.183	.973	.339	Accepted
Inflation	-.141	.480	-.056	-.294	.771	Accepted
UmpRate	-1.402	.781	-.324	-1.795	.084	Accepted
R²	.131					
Adjusted R²	.034					

Table 1: Regression Test of ANOVA.

The expected amount of foreign direct investment (FDI) when all other independent variables are set to zero is 10.670, as seen in the table up there. Given that the constant term is statistically significant at the 5% level, it is very unlikely that it is due to chance alone. Although GDP has a coefficient of 0.167, it is not statistically significant. Accordingly, the premise that FDI follows a straight line from GDP has insufficient evidence to back it up. Our results contradict those of earlier studies that have shown a positive correlation between

GDP and FDI (Blomstrom et al., 2004; Borensztein et al., 1998). However, bear in mind that the relationship between GDP and FDI could be complex and differ in each country and industry under study. Statistical significance is not achieved, even if the inflation coefficient is -0.141. It is for this reason that no evidence has been found to suggest a linear relationship between inflation and FDI. For instance, research by Caves et al. (1996) and Grilli and Mingo-Guzman (1995) showed that FDI and inflation were either not related or had a weakly negative correlation. Other results corroborate this notion. Conversely, several studies have shown a positive relationship between inflation and FDI (Blomstrom et al., 1994; Hansen, 1995).

Additionally, at the 10% level of significance, the unemployment rate's coefficient of -1.402 is present. This was already mentioned in the phrase before. So, it seems that there is some proof that FDI is inversely related to the unemployment rate. This result is consistent with previous studies that found higher unemployment rates can deter foreign direct investment (FDI), as stated by Caves et al. (1996) and Grilli and Mingo-Guzman (1995). Nonetheless, opposing studies have shown weakly positive associations or no connection at all between FDI and unemployment rates (Blomstrom et al., 1994; Hansen, 1995). R squared is 0.131 and corrected R squared is 0.034, according to the results. The three independent variables in the model only explain a small fraction of the variation in foreign direct investment (FDI), according to these values.

Hypothesis 1: Gross Domestic Product and Foreign Direct Investment.

H_0 : There is no relationship between Gross Domestic Product and Foreign Direct Investment.

H_1 : There is a relationship between Gross Domestic Product and Foreign Direct Investment.

Hypothesis 2: Inflation Rate and Foreign Direct Investment.

H_0 : There is no relationship between Inflation Rate and Foreign Direct Investment.

H_1 : There is a relationship between Inflation Rate and Foreign Direct Investment.

Hypothesis 3: Unemployment Rate and Foreign Direct Investment.

H_0 : There is no relationship between the Unemployment Rate and Foreign Direct Investment.

H_1 : There is a relationship between Unemployment Rate and Foreign Direct Investment.

4.3 Multicollinearity

Variables	Collinearity Statistics	
	Tolerance	Variance Inflation Factor (VIF)
(Constant)		
GDP Rate	.912	1.097
Inflation Rate	.901	1.110
Unemployment Rate	.987	1.013

Table 2: Multicollinearity Test.

VIF > 10; reject H_0 (**Multicollinearity exist**)

VIF < 10; accept H_0 (**Multicollinearity does not exist**)

The tolerance and variance inflation factor (VIF) values for each of the three independent variables utilised in the regression model are presented in the table. The unemployment rate, GDP growth, and inflation are examples of such indicators. A statistical phenomenon referred to as multicollinearity arises when two or more independent variables exhibit a significant correlation with one

another. Using these values, the statistical phenomenon known as multicollinearity can be evaluated.

In this case, the tolerance levels for all three variables are near one, whereas the VIF values are slightly greater than one. This indicates that the evidence against the independent variables being multicollinear is limited. Multicollinearity would be indicated by a tolerance value below 0.2 or a VIF value exceeding 5.

4.4 Autocorrelation

R^2	Durbin - Watson
.131	.765

Table 3: Autocorrelation Test.

Tables showing autocorrelation analysis at various time delays show the degree of connection between a time series' present value and its historical values. A value's "latency" is the length of time that has elapsed between its most current comparison and its most historical counterpart. As an example, with the delay set to 1, we can see how the present values compare to those from the past by calculating the autocorrelation coefficient. If there is a two-period lag, then the autocorrelation coefficient is determined by comparing the present value to the

value from two periods ago. According to Jenkins and Box (1976), further information may be found.

Autocorrelation may be represented as a positive or negative number. The perfect positive autocorrelation would be 1, which would mean that the present value and the previous value are completely related. Perfect negative autocorrelation, shown by the sign -1, occurs when the relationship between the present and prior values is inverse. Hyndman and Athanasopoulos are these two people. At zero, we may claim that autocorrelation does not exist. To quantify the significance of the autocorrelation coefficient, statisticians utilise the p-value. The non-random emergence of the autocorrelation coefficient is shown by a low p-value. The table directly above shows that the coefficient is statistically significant up to latency 3 in the autocorrelation study. As a result, there is a positive correlation between the current value and the antecedent values of the time series, which include values from the most recent three time periods.

Predictions about the time series' future values are possible with the use of this data. If we take sales data as an example of a time series, we can see from the autocorrelation analysis table that, given the three periods before this one, there is a greater possibility that sales will be higher this time around. Here we see the idea in action.

4.5 Heteroskedasticity White Test

Chi-Square	Significance
.131	.765

Table 4: White Test.

Heteroskedasticity is the term used to describe the consequence of error components in a regression model having variances that are not equal. In other words, heteroskedasticity occurs when the variability of the error dispersion across all levels of the independent variables is not constant. This could potentially pose a challenge as it contradicts the homoscedasticity assumption regarding the error terms. As a consequence, inaccurate and unreliable estimations of the regression coefficients and standard errors may ensue.

One among numerous tests that can be employed to ascertain the presence or absence of heteroskedasticity is the White test. The existence of a relationship between the variances of the error terms and the independent variables can be assessed using the White test statistic, which is a chi-square statistic. Heteroskedasticity is indicated in the White test through the presentation of a p-value that is statistically significant, typically below 0.05.

Considering the small portion of the table displayed above, the p-value is 0.765 and the Chi-square statistic appears to be 0.131. However, due to the

absence of degrees of freedom, it is not possible to determine whether or not this p-value is statistically significant.

4.6 Conclusion

During this section, the findings and results of the study that was being carried out at that location were presented. To arrive at these results, the time series data that was collected over a period of thirty years, starting in 1990 and finishing in 2020, was used. A further analysis of the data was carried out with the assistance of SPSS, and the research was ultimately finished. It was necessary to provide a full explanation on the construct validity in order to ensure that the model that was used for the aim of testing the hypothesis remained of high quality. In order to evaluate the hypothesis, a variety of statistical tests were used. These tests included regression, multicollinearity, autocorrelation, and heteroskedasticity white tests.

CHAPTER 5

CONCLUSION AND DISCUSSION

5.1 Introduction

Foreign direct investment (FDI) is a sector that creates economic drivers, distinct from other investment sectors that are also important. To fund a company's operations, foreign direct investment (FDI) pulls together capital from several sources, including those located both inside and outside of the country. Furthermore, policy suggestions about the elements that attract foreign direct investment to Malaysia are presented in Chapter 5, which also includes a summary of the study as a whole. In addition to the problems that have previously been addressed, foreign direct investment (FDI) also affects the uncertain economic environment that exists at the current time. To a large extent, the results of this study are in line with the findings of other studies that have been carried out by other researchers in the past.

5.2 Summary of Study Results

A summary of the findings of the study is presented in a way that is based on the identification of the factors that make it possible for foreign direct investment to be made into Malaysia. It has been shown that high levels of economic growth, as measured in terms of per capita income, have a

multiplicative effect on the amount of foreign direct investment (FDI) that is attracted to a country. This occurs as a result of the fact that these degrees of development raise the quality of life and motivate a greater number of people to put their money into the economy of the whole world.

Furthermore, the research reveals that instances in which exchange rates are positive are associated with a rise in foreign direct investment (FDI). Specifically, this is because investors benefit more from a lower dollar-to-ringgit exchange rate when the ringgit is worth less. This is the reason why this is the case.

To investigate the factors that influence foreign direct investment (FDI) into Malaysia, some different metrics are used. Additionally, the quantity of foreign direct investment (FDI) that is brought in may also be affected by other factors, such as the liberalisation policy and the findings of the study of promotion that was carried out by (Mohamad S. Imara, 2005) and (Akiya Nagata, 2005). The results of the study have shown that some of these factors include the business tax, exports, population, currency exchange rate, M2, and gross domestic product. Additionally, the research has revealed that company tax is one of these factors.

However, global uncertainties, such as those caused by the severe acute respiratory syndrome (SARS) pandemic in 2003, the spike in global crude oil prices in 2004–2005, and the current inflationary pressures, also affect investor interest. The findings of the study indicate that the policies of a country affect the growth of foreign direct investment (FDI) inflows; however, the study also

indicates that global uncertainties affect investor interest. Countries that are still in the process of developing have a far more difficult time keeping up with the high standard of life that is typical in industrialised nations. An additional drawback is that this is the case.

Because of **the global financial crisis**, investors lacked the confidence to join the market, which is an example of how unpredictable the stock market can be. In addition, investors had a lack of confidence to enter the market. There has been a 21% reduction in the total amount of foreign direct investment (FDI) that has been streaming into countries all over the world. It highly suggests that the government use many incentive measures to increase investor confidence in the capabilities of the country. This is done to improve investor confidence such as Japan, United States, German, Singapore, and Netherlands.

The level of success of "Wawasan 2020," an ambitious plan to make Malaysia a fully developed nation by 2020, may depend on the role that FDI plays in making this vision a reality. Developing Malaysia into a globally competitive nation in terms of the introduction of new goods, processes, and marketing methods requires a significant amount of foreign direct investment. Keeping its policies open to foreign direct investment (FDI) is crucial for Malaysia in this context. It is critical to design the incentive structure so that it is as effective as is realistically feasible without compromising effectiveness if one wants to retain and attract foreign investment.

Investors from other countries should not be considered a replacement for local funding, but rather a supplement to it. The need for expanding access

to local capital sources, especially savings choices, will be better understood by more people thanks to this perspective. If the available foreign cash is reduced, any alternative ways of acquiring technology, such as licensing agreements, will have to be considered. It is still feasible to execute this plan by investing heavily in human capital, even if it requires a high capacity for technology absorption. This remains true even if it meets all the necessary technological requirements.

5.3 Government Policies

The rate of increase in foreign direct investment in Malaysia was higher than that of Singapore, Thailand, Indonesia, and China, making it one of the most attractive investment destinations in the region. At the same time as foreign direct investment (FDI) into countries such as Indonesia, Singapore, and Thailand decreased in 2009, FDI into China climbed by 10.6 percent, as stated in a study by the United Nations Conference on Trade and Development (UNCTAD). The sectors that received the biggest amount of foreign direct investment in Malaysia were the basic metals industry, the power and electronics industry, the chemical industry, and the food processing industry together.

Several factors have contributed to the increase in foreign direct investment (FDI) in Malaysia. These factors include the effective economic stimulus measures implemented by the government, an investment environment that is inviting, structural recovery, and open policies towards FDI. Even though

the global financial crisis has unquestionably affected all forms of foreign direct investment (FDI), the government has taken some measures to ensure that FDI flows will continue. Investors may expect several things, including more enhancements to the government's delivery system, additional liberalisation of regulations that influence the service industry, and a review of trade-blocking restrictions.

5.3.1 Foreign Direct Investment Policies.

Foreign Direct Investment (FDI) plays a crucial role in shaping the country's economy, while domestic investment also makes a substantial contribution of up to 40% to the Gross Domestic Product (GDP). This was the state of affairs before the Asian Financial Crisis. Foreign Direct Investment (FDI) plays a crucial role in driving economic development. Subsequently, there has been a decline in both local and global investment, particularly in Malaysia, due to two interrelated factors. The reasons for this include the implementation and consequences of the New Economic Policy (NEP), as well as the formation and significant influence of government-linked businesses (GLCs) that hinder new investments. Both of these causes have led to a state of economic stagnation. Despite the potential for addressing these issues through measures like relaxing the New Economic Policy, the status quo is likely to persist. Similar to GLCs, if the project aims to provide investment rights but ultimately results in increased GLC ownership in new sectors,

it creates the perception that the initiative intends to expand the range of sectors in which GLC ownership is present.

Also, various factors contribute to the attraction of foreign investment in a country. Investors' interest in investing is diminished due to concerns about potential losses on invested assets and the risk of experiencing such losses. This decrease in interest is mostly caused by the prevailing political and economic uncertainty in the investment landscape. When discussing foreign direct investment (FDI), it is crucial to emphasise that the FDI policy regime of a country is the most important element in attracting FDI. This is because a country may have attractive investment characteristics, such as a large market size, yet still struggle to attract foreign direct investment (FDI) due to government-imposed obstacles. Conversely, if a country does not set any restrictions on foreign direct investment (FDI), but lacks openness and stability in implementing the policy, the situation is different. The implementation of the FDI policy regime plays a crucial role in attracting foreign direct investment (FDI) inflows to a country.

5.3.2 Development Planning Policy for Unemployment

The administration of Malaysia has been able to focus on revitalising the national economy, especially concerning attracting new investment, as a consequence of the political stability that has prevailed in the

country at the moment. Political stability is of the biggest significance for the economy of the country, as it is anticipated that the Gross Domestic Product (GDP) will increase by between 5.5 and 6.5 percent in 2022, which is a significant increase from the 5.6 percent fall that was expected for the year 2020. From 14.6 billion Malaysian ringgit in 2020 to more than 50 billion Malaysian ringgit in 2021, the quantity of foreign direct investment (FDI) is also increasing. This development is expected to continue. The volume of transactions is also exceeding the target, which is a piece of great news. In addition, there was a successful decrease in the number of those unable to find work. We can provide employment opportunities to as many as 580,000 people, despite the fact that the ideal number of job openings for the year 2021 is 500,000. In addition, the government of Malaysia has resolved to provide 600,000 employment possibilities for the country's population by the year 2022.

5.3.3 Post-Covid Response by the Government

Source: UNCTAD

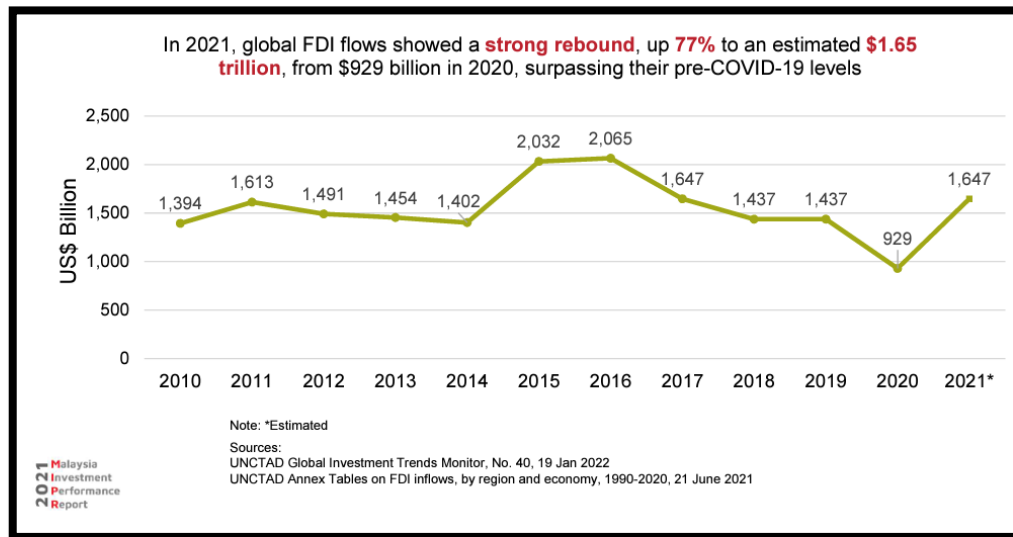


Figure: In 2021, global FDI flows showed a strong rebound.

Malaysia's economic stability is maintained via a significant dependence on foreign direct investment (FDI). An explanation for this phenomenon is the government's provision of financial incentives to enterprises operating in the digital and high-tech sectors. Under the National Economic Recovery Plan (PENJANA), policies were formulated to promote investment activity and provide advantages to businesses. These regulations provide exceptions for newly established foreign direct investment (FDI) in the manufacturing industry, which are applicable for a duration of ten to fifteen years and need a minimum capital expenditure of RM300 million (US\$72.8 million) or more (Amirul, 2022). In that year, the formation of the Project Acceleration

and Coordination Unit (PACU) was one of the additional initiatives implemented to promote foreign direct investment (FDI). This unit operates under the jurisdiction of the Malaysian Investment Development Authority (MIDA), which is under the purview of the Ministry of International Trade and Industry (MITI). The goal of the National Committee of Investment (NCI) is to facilitate the progress of projects and ensure their completion.

5.4 Recommendation for Independent Variable towards FDI.

5.4.1 Unemployment Rates

Had the possibility been given significant consideration, the government would have been required to formulate a strategy for employing trade shows and travels for economic delegations as a means of promoting the nation. A greater number of countries worldwide will have the capacity to acquire a more comprehensive understanding of the advantages that can be obtained by conducting business in Malaysia, as a consequence of the extensive information that was amassed during the expeditions of this group. Potentially, the influx of lucrative foreign funds into our country could stimulate the development of additional activities. Among others, the KL-Singapore High-Speed Train and the South Johor Development Project are among the megaprojects that the government has attempted to implement. Opportunities for employment in our country will remain perpetually accessible to the populace, owing to the

substantial workforce requirements of development initiatives. This circumstance arises due to the substantial workforce demands. Given the current state of affairs, it is evident that greater international exposure for the country constitutes an essential measure in the endeavour to reduce unemployment.

5.4.2 Inflationary Rates

In the process of evaluating a business, the pricing power of the organisation stands out as a paramount attribute. Establishing a price increase strategy that prevents customer attrition to competitors within the same industry signifies a high degree of business success. A corporation gains a significant competitive edge during periods of elevated inflation by implementing price increases, which enable the organisation to offset the expenses that are escalating. Limited competition businesses, including Google, Microsoft, and Facebook, prosper exceptionally well during periods of high inflation due to their capacity to adjust prices in tandem with rising expenses.

5.4.3 Gross Domestic Product (GDP)

A robust gross domestic product (GDP) growth rate, indicative of effective governance and stable economic policies, will incentivize foreign direct investment (FDI) by providing government institutions with the ability to identify novel avenues for financial gain. Guarantee

that investments that have been pledged are backed from start to finish. Malaysia is likely undergoing the same trend as the majority of authorised investment projects worldwide, which have been cancelled, according to estimates. To enable the implementation of additional investment strategies, it is critical to offer support during all phases of the undertaking. Among the operations encompassed in end-to-end support are the administration of investor relationships, facilitation of regulatory process negotiations, and property acquisition assistance. Furthermore, it is critical to perform routine evaluations of unsuccessful business transactions to ascertain the causes of their failure and consider potential solutions to any identified problems.

5.5 Conclusion

Malaysia's economic growth could potentially be enhanced through the development of numerous policy implications derived from the research findings that have been finalised. One of the outcomes of the proposed policy is that the government must ensure the maintenance of a suitable foreign direct investment policy, in addition to fostering investment in Malaysia through the adoption of a business-friendly policy. Further expansion of established business policies, such as the liberalisation of the manufacturing and service sectors, to incorporate other critical industries that have been identified as possessing global competitive capabilities is feasible. The government is augmenting the capabilities of the Ministry of International Development

(MIDA) and allocating resources towards talent acquisition through Talent Corp as strategic initiatives to entice Foreign Direct Investment (FDI).

To enhance investor confidence in the genuine state of the economic, social, political, and legal landscape in Malaysia, it is equally important to implement reforms to tackle views. Because perceptions influence how individuals perceive things. When formulating an investment policy, the Sunset Policy must also be given due consideration by the government. This is done to ensure that the policy remains aligned with the demands of the nation, while also substituting outdated and ineffective policies. Given the substantial and major role that the population plays in the growth of Malaysia's economy, it is imperative for the government to actively promote the progress and advancement of the native people.

In addition, it is critical to implement suitable strategies and initiatives, such as augmenting the level of expertise that individuals own. By increasing the capabilities of students enrolled in public and private higher education institutions, as well as by improving the training and courses provided by institutions that already impart industry knowledge and skills, a multitude of strategies and approaches can be implemented in this context (Natrah, 2022). As part of the 10th Malaysia Plan, the Malaysian government has established an integrated framework to facilitate the growth and maintaining of human capital of international standard. This is to acknowledge that the transformation of Malaysia from a middle-income to a high-income nation requires the development of human capital as a crucial component. In the subject of fostering

high-caliber individuals, specifically through educational initiatives, continuous monitoring at the implementation level is an indispensable component to ensure that the planned programme generates the desired outcome.

Furthermore, this integrated strategy could be enhanced through the application of more efficient surveillance at every stage of action. This is because the current framework cannot be completed in the absence of efficient monitoring capabilities. Both the private and public sectors must continue to conduct foreign direct investment-related research and development. This is because Malaysia faces competition not only from Asian nations but also from European and Middle Eastern countries in the recruitment of potential investors. To promote the national implementation of successful foreign direct investment attraction strategies employed by private companies, the research and development efforts that have been undertaken must be put into practice in a broader capacity through close collaboration between competitive and capable entrepreneurs and the government. In addition to coordinating the research and development available at universities, matchmaking sessions with local private companies and multinational corporations (MNCs) may also be conducted. This occurs to maximise the quantity of knowledge transfer that multinational corporations (MNCs) conduct with local businesses.

Lastly, it is critical to avoid foreign direct investment in industries that are heavy on energy consumption or depend on menial labor. This is because it is believed that businesses that rely greatly on energy consumption contribute negatively, particularly to the environment, through the emission of hazardous

refuse and unmanaged air pollution. Additionally, it is imperative to prioritise projects that demand substantial technological investment to ensure that the employment prospects generated by foreign direct investment extend beyond the industrial sector and do not reward at a low standard. In other words, policymakers must exercise discretion in their decision-making process regarding the approval of foreign direct investment proposals. This is essential to guarantee the success of endeavours to attract investments that will progress the nation towards a value chain with sizable added value. Further, this will ensure the successful realisation of Vision 2020, which seeks to establish a developed and high-income nation by 2020.

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APPENDIX A:

Data of Dependent Variable and Independent Variables.

YEAR	FDI US(BILLION)	UNEMP	INFR	GDP
1990	2.33	7.6	2.62	9.01
1991	4	3.6	4.36	9.55
1992	5.18	3.71	4.77	8.89
1993	5.01	4.11	3.54	9.89
1994	4.34	3.66	3.72	9.21
1995	4.18	3.15	3.45	9.83
1996	5.08	2.52	3.49	10
1997	5.14	2.45	2.66	7.32
1998	2.16	3.2	5.27	-7.36
1999	3.9	3.43	2.74	6.14
2000	3.79	3	1.53	8.86
2001	0.55	3.53	1.42	0.52
2002	3.19	3.53	1.81	5.39
2003	3.22	3.61	1.09	5.79
2004	4.38	3.54	1.42	6.78
2005	3.92	3.53	2.98	5.33
2006	7.69	3.32	3.61	5.58
2007	9.07	3.23	2.03	6.3
2008	7.57	3.32	5.44	4.83
2009	0.11	3.66	0.58	-1.51
2010	10.89	3.39	1.62	7.42
2011	15.12	3.05	3.17	5.29
2012	8.9	3.1	1.66	5.47
2013	11.3	3.16	2.11	4.69
2014	10.62	2.88	3.14	6.01
2015	9.86	3.1	2.1	5.09
2016	13.47	3.44	2.09	4.45
2017	9.37	3.41	3.87	5.81
2018	8.3	3.3	0.88	4.84
2019	9.15	3.26	0.66	4.41
2020	4.06	4.54	-1.14	-5.53

Appendix B:

Appendix 1: Durbin- Watson

Model Summary ^b										
Model	R	R Square	Adjusted R Square	Std. Error of the Estimate	R Square Change	Change Statistics			Sig. F Change	Durbin-Watson
						F Change	df1	df2		
1	.362 ^a	.131	.034	3.65654	.131	1.355	3	27	.277	.765

a. Predictors: (Constant), unemp, gdp, inflation
b. Dependent Variable: fdi

Appendix 2: Result ANOVA

ANOVA ^a						
Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	54.367	3	18.122	1.355	.277 ^b
	Residual	360.999	27	13.370		
	Total	415.366	30			

a. Dependent Variable: fdi
b. Predictors: (Constant), unemp, gdp, inflation

Appendix 3: Coefficients Result for VIF

Coefficients ^a								
Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.	Collinearity Statistics	
		B	Std. Error	Beta			Tolerance	VIF
1	(Constant)	10.670	3.181		3.354	.002		
	gdp	.167	.172	.183	.973	.339	.912	1.097
	inflation	-.141	.480	-.056	-.294	.771	.901	1.110
	unemp	-1.402	.781	-.324	-1.795	.084	.987	1.013

a. Dependent Variable: fdi

Appendix 4: White's Test Result

Tests for Heteroskedasticity		
White Test for Heteroskedasticity ^{a,b,c}		
Chi-Square	df	Sig.
8.634	9	.472

Appendix 5: R square and Adjusted R squared Result.

Model Summary ^b					
Model	R	R Square	Adjusted R Square	Std. Error of the Estimate	Durbin-Watson
1	.362 ^a	.131	.034	3.65654	.765
a. Predictors: (Constant), unemp, gdp, inflation					
b. Dependent Variable: fdi					

Appendix 6: Correlation Result.

Correlations					
		fdi	gdp	inflation	unemp
fdi	Pearson Correlation	1	.164	.033	-.317
	Sig. (2-tailed)		.377	.859	.082
	N	31	31	31	31
gdp	Pearson Correlation	.164	1	.295	.007
	Sig. (2-tailed)	.377		.108	.970
	N	31	31	31	31
inflation	Pearson Correlation	.033	.295	1	-.108
	Sig. (2-tailed)	.859	.108		.564
	N	31	31	31	31
unemp	Pearson Correlation	-.317	.007	-.108	1
	Sig. (2-tailed)	.082	.970	.564	
	N	31	31	31	31